

ZIMBABWE

REPORT

of the

COMMISSIONER OF INSURANCE

For the

Year ended 31st December 2009

Price \$ per copy

ANNUAL REPORT

OF THE

COMMISSIONER OF INSURANCE

for the

Year ended 31st December 2009

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Ministry of Finance
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5 November 2009

The Honourable T. Biti Minister of Finance

Dear Sir

I have the honour to submit, in terms of section 70 of the Insurance Act [Chapter 24:07] my report for the year ended 31st December 2009.

Yours faithfully

M. S. Mpofu

COMMISSIONER OF INSURANCE, PENSION AND PROVIDENT FUNDS

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The insurance statistics have been compiled by the Insurance and Pensions Commission Office from returns lodged with the Insurance and Pensions Commission in terms of the Insurance Act [Chapter 24:07].

PREAMBLE

The Insurance and Pensions Commission is required in terms of Section 70 of the Insurance Act [Chapter 24: 07], to submit an Annual Report with regards the performance of the Insurance Industry for the year ended 31st December 2009.

ECONOMIC OVERVIEW

The introduction of the multicurrency system in February 2009 brought in some modicum of stability in the economy. Coming from a decade of inflation and two years of hyperinflation, dollarization drastically reduced inflation and brought in a semblance of economic growth started to rise. The general level of inflation for the year 2009 was at - 7.7 %. During the period 2009 GDP growth was at 5.7 %. The country began to experience growth during the year 2009 due to dollarization of the economy. It is hoped that the country will continue experience growth that benefit all sectors including insurance. If economic growth continues to rise, companies and households will have more disposable incomes and will be in a position to insure their properties.

INSURANCE OVERVIEW

As already mentioned the year 2009 brought some relief from the economic melt down which had been experienced during the hyper inflationary period. The Insurance Industry started to experience growth in business volumes.

There were 61 direct insurers, 12 reinsurers, 58 insurance brokers. The total number of players in the industry was 131. Four short term insurers were registered during the year 2009. Some of these never operated as they suffered financial difficulties due to the liquidity crunch.

During the period 2009 Zimre Reinsurance Company (Pvt) Ltd (changed) to Baobab Reinsurance Limited and Zimre Life and Health (Pv) Limited (changed to) Baobab Re Life and Health for strategic reasons.

The report is not on a comparison basis as it is for only one year. This is so because year 2008 the currency in use was the Zimbabwean dollar and year 2009 the economy was dollarized.

CORE ACTIVITIES OF THE COMMISSION IN THE YEAR UNDER REVIEW (2009)

During the year ended December 2009, the core activities of the Commission included: licencing, off- site inspection and surveillance of insurance players, rendering advisory

services to the insurance players and public at large; issuing guidelines to players on pertinent issues from time to time; handling of complains; gathering and publishing insurance industrial statistical information.

Offences

During the year under review, the most committed offence by insurance players is the delayed submission of the audited accounts and financial statements. Subsequently, errant players were fined accordingly.

OVERAL COMMENTRY ON STATISTICS FOR THE YEAR 2009

(a) Combined Industry Gross Premium Volume

Industry gross premiums for the year 2009 amounted to US\$59 618 273.

(b) Net Premium Income

Direct insurance companies recorded a net premium income (net of reinsurance) of US\$29 212 649.

LIFE AND ANNUITY BUSINESS

(a) Gross Premiums

During the year 2009, the life and annuity business generated a gross premium of US\$13 736 825. The motor portfolio was the largest contributor contributing US\$20 089 754.

(b) Net Premiums

The net premium for 2009 was US\$12 408 872.

NON- LIFE BUSINESS

(a) Gross Premiums

Gross premiums for the year under review was US\$45 881 448. The motor portfolio was the largest contributor to gross premiums contributing \$20 089754. The fire portfolio was the second largest contributor and the transport portfolio was the third largest category contributing \$3 896 453.

(b) Net Premiums

The net premium for non-life business was US\$16 803 777. Motor insurance alone contributed \$20 089 754, which is about 50% of the short term insurance.

The following tables show the figures for 2009. There is no comparison.

(a) Life and Annuity business

Year	Gross premiums (\$)	Increase or decrease in absolute terms (\$)	Percentage increase or decrease (%)
2009	13 736 825	-	-

(b) Non- Life business

Year	Gross premiums (\$)	Increase or decrease in absolute terms (\$)	Percentage increase or decrease (%)
2009	45 881 448	-	-

(a) Total (a+ b)

Year	Gross premiums (\$)	Increase or decrease In absolute terms (\$)	Percentage increase or decrease %
2009	59618273	-	-

Management expenses and Commissions

(a) Life and Annuity business

Local gross management expenses for life assurance companies in 2009 amounted to US\$7 048 560. Commissions amounted to \$144 047.

(b) Non –Life

Short -term insurers management expenses amounted to US\$6 845 471 in the year under review. Commission payments amounted to \$529 970.

CLAIMS EXPERIENCE

(a) Direct Life Insurance Claims

Gross claims in 2009 stood at US\$1 847 973. The greatest challenge to life insurers remains the prevalence of HIV/AIDS pandemic. However, the pandemic's effects can no longer be overemphasized because the antiretroviral drugs are reducing the deaths rates.

(b) Direct Non-Life Insurance Claims

Direct gross non-life claims stood at US\$7 453 150. Motor portfolio accounted for \$5 906 222.

(c) Combined Industry Claims (a + b)

Total direct insurance claims stood at US\$9 301 123.

Tables below show the claims experience during the year 2009

(a) Life business

Year	Gross premiums (\$)	Increase or decrease in absolute terms (\$)	Percentage Increase or decrease (%)
2009	1 847 973	-	-

(b) Non-life business

Year	Gross premiums (\$)	Increase or decrease in absolute terms (\$)	Percentage increase or decrease (%)
2009	7 453 150	-	-

(c) Total (a +b)

Year	Gross premiums (\$)	Increase or decrease in absolute terms (\$)	Percentage increase Or decrease (%)
2009	9 301 123	-	-

PROFESSIONAL REINSURERS

(a) Life Business- Premium Income

Reinsurers generated combined premium income of \$2 297 755 in 2009.

(b) Non –Life business

Non –life business and reinsurance gross premium were \$28 745 049 for the year under review.

(c) Combined Reinsurance Gross Premiums (a+ b)

Life and non-life reinsurers' gross premiums for 2009 were \$31 042 804.

The following tables show figures for reinsurance premiums for the past year.

(a) Life business

Year	Gross premiums (\$)	Increase or decrease in absolute terms (\$)	Percentage increase or decrease (%)
2009	2 297 755	-	-

(b) Non- life business

Year	Gross premiums (\$)	Increase or decrease in absolute terms (\$)	Percentage increase or decrease (%)
2009	28 745 049	-	-

(c) Total (a +b)

Year	Gross premiums (\$)	Increase or decrease in absolute terms (\$)	Percentage increase Or decrease (%)
2009	31 042 804	-	-

SUMMARY OF INSURANCE INDUSTRY ASSETS

Total industry assets in the year 2009 were \$128 681 871. Of the total assets, life insurers contributed \$94 026 635 with \$34 655 236 contributed by non-life insurers. Life insurance companies therefore constituted 73% of the insurance industry assets during the year under review.

Funeral Assurers

Gross premiums for funeral assurers were \$542 526. However, the premium only reflects business for one entity. All other players failed to submit their returns for the year under review.

General Comments

During the year under review assets of the Insurance Industry were valued conservatively due to the dollarization of the economy. Different companies have different approaches to valuing assets. During the same period Insurance companies had to convert the sum assured values from Zimbabwean dollar to US dollar values. There was no explicit exchange rate to convert Zimbabwean dollar to United States Dollars.

Different conversion methods were employed which left others satisfied whilst others were disappointed. However, with property insurance generally both insurers and the insured were satisfied though fewer people bought insurance.

Acknowledgements

I would like to express my appreciation for the assistance, co-operation and understanding, which has existed throughout the year between my office and the Insurance Industry. It is my hope that we shall continue to work hard to improve the status of the industry.

M. S. Mpofu

Commissioner of Insurance, Pension and Provident Funds

SOURCES OF INFORMATION, DEFINITIONS OF SOME INSURANCE TERMS, AND REFERENCES

The information in this report is compiled from returns submitted to the Commissioner of Insurance by registered insurers in terms of subsection (i) of section 30 of the Insurance Act [Chapter 24:07] and by insurance brokers in terms of section 37 of the Act.

Returns are normally required to be furnished to the Commissioner within six months of the end of each financial year and returns incorporated in this report are, in the main, in respect of the financial year ending on the calendar year 2009.

The following are some of the terms in common usage in the insurance industry. Some of them have been used in this report and where they have been used, they have the meaning attached to them hereunder.

Actuary:	means a person who is a member, Associate or Fellow of a professional institute, faculty, society or association of actuaries, recognized as such by the Commission.
Claim:	a demand by the insured for an indemnity or benefit under the policy.
Cover:	The insurance provided by the insurer for the insured or reinsurer for the reinsured.
Facultative Reinsurance:	the reinsurance of an individual risk on terms and conditions Agreed with the reinsurer specifically for that risk.
Fire Insurance Business:	means the business of insuring persons against loss or damage caused by fire or by an occurrence incidental to fire or against any loss or damage against which insurance is customarily effected in conjunction with the business of insurance against loss or damage caused by fire, but does not include the business of insuring persons against such loss or damage if the business is incidental to some other class of insurance business.
Foreign Company:	this means a company not being a local company.
Funeral policy:	a policy whereby the insurer assumes, in return for a premium or the promise of a premium, an obligation to provide, on the death of any person, benefits, not exceeding in value a total of ten thousand

dollars, which consist principally of provision for the funeral of that person or the grant to another person of some other non-monetary benefit, whether or nor the policy provides for-

- (a) the payment, at the option of the insurer of any other person, of a sum of money instead of the provision of funeral or the grant of non-monetary benefit;
- (b) the payment of a sum of money in addition to the provision of a funeral or the grant of some non-monetary benefit.

Gross premium: is the total premium before deducting outgoing reinsurance Premium or other deductions.

Insurance: a mechanism whereby the risk of financial loss is transferred from an individual, company, or other entity to an insurance company.

Insurance Act: the Insurance Act, [Chapter 24:07]

Insurance agent: means a person registered by the Commission to solicit applications for insurance or negotiate for insurance coverage on behalf of the insurer and to perform other functions that may be assigned to him by the insurer and in consideration for his or her services receives commission from the insurer.

Insurance broker: an insurance intermediary who advises his clients and arranges their insurances. He acts as an agent of his client and he is normally remunerated by a commission (brokerage) from the insurer. An insurance broker places business with many insurers.

Insured: the party who has acquired the insurance and will be entitled to enforce a claim under the policy as a party to the contract.

Miscellaneous insurance business: the business of assuming obligations under policies not specified in the Act, or the insurance regulations.

Motor vehicle insurance business: means the business of insuring persons against loss or damage or the liabilities arising out of, or in connection with, the use or ownership of motor vehicles but shall not include the insurance of vehicles or liabilities associated therewith which are ancillary to some other class or insurance business.

Multiple Agent: means an agent representing more than one registered insurer in either life or non-life insurance business or in both;

Net Premium Income: this is a written document evidencing the contract between the insurer and the insured.

Policyholder: the person in whose name the policy is issued.

Premium: means the consideration paid/payable by the insured in return for the insurance cover provided by the insurer for entering into an insurance contract.

Reinsurance: the insuring of business from the insurer to the reinsurer.

Reinsurance Premium: the amount paid by an insurer in consideration for reinsurance

Retention: the proportion of the amount of the risk that an insurer retains on his account.

Transport insurance business : means the business of effecting and carrying out, otherwise than incidental to some other class of insurance business policies-

- (a) upon vessels or aircraft or upon machinery, tackle furniture or vessels or aircraft; or
- (b) upon goods, merchandise or property of any description whatsoever on board vessels or aircraft; or
- (c) upon freight of or any other interest in or relating to vessels or aircraft; or
- (d) against damage arising out of or in connection with the use, ownership, operation, hiring or chartering of vessels or craft, including the liabilities associated therewith; or
- (e) against risks incidental to the construction, repair or docking of vessels, including the liabilities associated therewith; or

- (f) against risks, whether the transit is by sea, inland water, land or air or partly another including risks incidental to the transit from the commencement of the transit to the ultimate destination covered by the insurance, but excluding risks, the insurance of which is motor vehicle insurance business; or
- (g) against any other risks, the insurance which is customarily effected on with or is incidental to any business referred to in paragraph (a) of this definition.

UNITS AND ROUNDING ERRORS

ALL VALUE FIGURES ARE GIVEN TO THE NEAREST DOLLAR AND WHERE NECESSARY FIGURES HAVE BEEN ADJUSTED TO ELIMINATE ERRORS IN TOTAL DUE TO ROUNDING OFF.

References

- (i) Annual returns
- (ii) Insurance Act [Chapter: 24:07]
- (iii) The Insurance Regulations, 1989
- (iv) The 2010 Mid –Term Fiscal Policy Review Statement

INSURANCE
STATISTICS
2009